Œconomia

History, Methodology, Philosophy

15-3 | 2025
Accounting for Quality in Economics
Revue des livres
Comptes rendus

Branko Milanovic, *Visions of Inequality: From the French Revolution to the End of the Cold War*

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p. 535-541
https://doi.org/10.4000/15cb1

Référence(s) :
Branko Milanovic, *Visions of Inequality: From the French Revolution to the End of the Cold War*, Cambridge: Harvard University Press, 2023, 359 pages, 978-067426414-4

Texte intégral

1 For most economists it may seem natural that the analysis of income inequality (henceforth, inequality) rests on a set of axioms, data, and micro- and econometric theory. It may also appear obvious that this is the inevitable outcome of decades, or even centuries, of cumulative knowledge that has brought us closer to some form of "truth" on the matter. In this book, Branko Milanovic questions these naïve ideas and urges us to reflect on how and why we think about income inequality the way we do.

2 Milanovic digs into the history of economic inequality thinking, with six chapters devoted to major authors (Quesnay, Smith, Ricardo, Marx, Pareto and Kuznets), and a final long chapter where he offers a broad discussion of the last decades of the 20th century developments in inequality research. A prologue explaining the intention and scope of the manuscript, and an epilogue dedicated to the current state of the literature, frame the book. Three early clarifications shape its structure. First, only "income", and no other forms of inequalities, are explored. This, as discussed at the end of this text, drives his conclusions and readings of the authors to a more economic-trained audience. Second, for Milanovic, "good" studies stand on theory, data and narrative.

The first three authors have theory and narrative, but roughly no data on inequality. “Good” use of data appears with Marx and strengthens in Pareto and Kuznets, exposed as the most complete authors. After Kuznets, narrative loses weight and theory shifts towards methods and measurement, neglecting a comprehensive approach to the topic. These different styles of studying inequality, clearly separated in time, permeate the writing; the exposition of the middle authors feels quite robust, while the discussion of post-Kuznets’ studies leaves a sense of unease that will be discussed further on. Third, the first four authors view inequality as attributional, in the sense that class membership defines individual incomes and thus shapes overall inequality. This proposition fades with Pareto, who turns the focus towards interpersonal inequality, and with Kuznets, who emphasizes regional and sectoral inequalities. Later approaches, marginal in mainstream economics due to the success of neoclassical thinking and post-war geopolitics, turn the focus even further away from class structures.

3 One might be tempted to read the book’s ordered exposition as teleological, as if it traced a historical progression towards a conclusion. Milanovic dissipates this early on, clarifying that the book structure is rather chronological and reflects ideas influenced by each author’s time. Each chapter serves as a disciplined reconstruction of the authors’ thoughts based on first-hand readings, clearly expressing the novelties within earlier paradigms. Some of these ideas are controversial and have been discredited by latter evidence. Nonetheless, the book treats them fairly and acknowledges their influence on economic thought. One can only be inspired by such intellectually rigorous exercise.

4 The book begins with Quesnay, the leader of the Physiocratic movement. His main intention was to define how a static, class-structured, and agrarian kingdom could be the ideal society. Milanovic summarizes Quesnay’s class structure into four main classes, each receiving income according to their role. Workers, the majority, earned subsistence wages, whereas self-employed crafters relied on their own capital but represented a small share of the population. The central tension stood between capitalists, who rented land and earned homogeneous returns from capital investment, and landowners (*propriétaires*), who received rents from capitalists. In Milanovic’s reading, for Quesnay, like today, economic activity implied surplus generation to sustain the dominant classes, whose members do not participate directly in the production system. Surplus is then a previous condition to “any civilized society”, and inequality appears as a natural condition to preserve production, order, and law. At the end of the chapter, Milanovic makes his view of the physiocrats explicit, claiming that their “hidden objective” was to explain to the rulers of their time how prosperous France could become if the right policies were adopted; a vision of an agricultural and static kingdom, reflecting the ideals of the *Ancien Régime*.

5 Smith analyzed a hierarchical society from a completely different standpoint. While higher classes (capitalists and landowners) earned more than the rest, he assimilated national wealth with the living standards of workers, highlighting how profit rates declined as societies grew richer. The most interesting section in this chapter contrasts the views on inequality in Smith’s two major works. *The Theory of Moral Sentiments* justifies social hierarchies through a quasi-theological order, and the behavior of the rich is ridiculed but never questioned. However, *The Wealth of Nations* defines rent-seeking by the rich as unjust and criticizes that their high incomes are frequently product of collusion, monopoly, plunder and political influence. Despite this tension and confronting a commonly caricaturized Smith portrayed as obsessed with little more than “invisible hands”, Milanovic presents him as a sort of “leftist” thinker, concluding that his vision of development-as rising living standards of the bottom-would actually imply a path to reduced inequality. Ricardo went even beyond, and extended Smith’s framework by linking income distribution directly to economic growth. Profit-seeking capitalists drove economic expansion, while zero-return situations led to economic and social stagnation. Profit concentration, though favoring capitalists, would eventually reduce overall income inequality because it would disadvantage the very wealthy landowners.

6 Throughout the book, Milanovic's acknowledges that these are his own readings and interpretations of the authors. This is especially clear in the chapter devoted to Marx, probably the most complex among those explored here. Marx integrated production and distribution into a unified framework, governed by the same underlying production laws. In capitalism, income distribution arises from the social functions of classes: capitalists own productive resources, hire labor, and extract surplus, while workers sell their labor and remain exploited. Inequality would therefore be intrinsic to the economic system, and meaningful redistributions would be impossible without abolishing class relations. Milanovic dialogues with Marx's arguments, noting that if wages and living standards rise with higher production levels and economic development, this universal law might not hold. The chapter concludes by exposing how Marxian forces like the declining profit rates, rising real wages with development, cyclical crises and concentration of production, and the discipline role of the industrial reserve army could affect inequality. Their interaction and evolution could lead to several possible outcomes, ranging from growing equality and prosperity to systemic collapse.

7 Vilfredo Pareto marked a fundamental shift on how inequality was understood by studying interpersonal rather than class-based inequality. Motivated by new fiscal data and a belief in natural laws of distribution—very common to his time, heavily influenced by major advances in natural sciences in the early 20th century—, he proposed that incomes followed a regular pattern: the number of individuals earning above a given level declined at a constant rate when income increased. From this regularity he inferred a universal, "natural" law of income distribution, consistent across countries and stages of development. This led him to focus on elites (as top income perceivers) rather than classes, introducing power laws into inequality analyses and showing how upper tails of income distributions sharply deviate from normal distributions. While these power laws have indeed been highly influential in inequality analyses and are still used, Milanovic notes that Pareto overlooked cross-country variations, and that his model applies mainly to top incomes. Still, in one of the most fascinating pages of the book, a reconstruction of Marx's top income data fits the Pareto power law, exemplifying the enduring relevance of his approach.

8 Kuznets's main intellectual contribution broke with Pareto's idea of fixed inequality, proposing that income distribution evolves with structural transformation and that development lifts wages while diminishing capital's dominance. Reducing top incomes could indeed increase overall economic growth if the rest of the population gained more. His famous hypothesis transformed how we see economic development: industrialization created wage diversity, urban–rural gaps, and new social groups. As urbanization advances, these disparities first widen and then contract. Excessive inequality, however, raises corrective mechanisms like lower productivity rates, falling returns to capital, and redistributive social spending designed to smooth out disparities. At the end of the chapter, Milanovic notes that the so-called "Kuznets hypothesis" is not without flaws. Cross-country inequality values are dispersed and too broad for generalization; the turning point of the Kuznets curve stays elusive (Chowdhury and Moran, 2012).

9 In the second half of the 20th century, inequality research entered a period of stagnation that contrasted with major advances in data collection and analytical methods in other areas. Milanovic attributes this to the ideological polarization of the Cold War, which transformed economics into a tool of politics. Both capitalist and socialist systems—paradoxically, for opposite reasons—neglected the relevance of class and inequality. Socialist economies treated inequality as ideologically inconvenient; the official doctrine held that class conflicts had been resolved, and the limited access to reliable data constrained serious studies. In capitalist contexts, mainstream economics became increasingly technical and abstract, focused on equilibrium and efficiency rather than distribution matters or power relations among individuals or classes. In the neoclassical thinking tradition, individuals were defined by their preferences (between work and leisure, present and future consumption, and so on) and endowments,

shaping their income trajectories in competitive markets. Inequality was viewed as the consequence of free, rational decisions, and not as a matter of worry. Milanovic devotes many pages to criticizing this view and its consequences, emphasizing how it overlooks the institutional and political dimensions of inequality, and arguing that it misses its core: power structures.

10 This part of the book—probably the most controversial for those trained in economics—sets a more critical tone. As a reader, one is left with a sense of frustration with the way Milanovic describes the loss of narrative and theoretical depth that had characterized earlier thinkers. The remarks on Tony Atkinson particularly stand out. While Milanovic praises his work for its empirical rigor, he also defines his contributions as purely technical and broadly apolitical, a judgment that, while to some extent fair today, may not have fitted the context of fifty years ago when those contributions were made (Atkinson, 1970; 1983).

11 The epilogue surveys the recent revival of inequality studies, from Thomas Piketty's historical analyses to the development of global income databases. As in many works of this genre, the book tries to close on an optimistic note. The renewed interest in inequality matters has truly attracted attention and resources and should continue inspiring a deeper understanding of the issue. It would be foolish not to admit that notable contributions have been made and have later been turned into policies or tax reforms that significantly improved the living conditions of wide population groups, especially in developing economies.

12 Still, the final pages of the book read rather detached from the preceding chapters. The methodological and technical improvements in the past years, although large, mostly lie in technicalities and data exploitation, but do not bridge with the absence of narrative and comprehensive theory that characterized earlier contributions. The reader is left with the feeling that, in substance, the underlying rationale characterizing the economics of inequality after the 1960s stays.

13 I attribute this discomfort to how Milanovic chose to author the book. By focusing on economic inequality and selecting this set of authors (unsurprisingly, all white Western male, most belonging to the economic elite of their time), other contributions are necessarily neglected. I really missed some form of dialogue and wider recognition—beyond fast references to Rawls (1971) and others—with other analyses of social inequality that have not suffered from the intellectual void described in the post–World War II era. The fact that economists lost interest in surplus exploitation sharply contrasts with how philosophers (Foucault, 1982), sociologists (Goldthorpe et al., 1987; Bourdieu, 1987), social psychologists (Tajfel, 2001; Sidanius and Pratto, 2001), and anthropologists (Wolf, 1982) kept discussing it. Class analyses, marginalized and even mocked within mainstream economics, were in fact neither abandoned with Pareto nor made obsolete; they continued to expand, evolve, and prove useful across other social science areas (Giddens, 1979). The final part of the book reads as a legitimate call to action for economists, but the seeds might have been more fruitful had it been addressed to a wider audience and used to encourage further readings beyond mainstream economics.

14 Although this final note sounds somewhat critical, Branko Milanovic's *Visions of Inequality* offers the most compelling account of how economists have approached inequality that I have ever read. Regardless of the thought tradition one identifies with, the volume stands as an essential reference for anyone wishing to understand and contextualize economic inequality. After reading the book, the reader really feels the need to go back to the original authors and explore them further. For this and many other reasons, the book is a clear success.

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Document annexe

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- (image/jpeg – 84k)
  Harvard University Press

Pour citer cet article

Référence papier
Pedro Salas-Rojo, « Branko Milanovic, *Visions of Inequality: From the French Revolution to the End of the Cold War* », *Œconomia*, 15-3 | 2025, 535-541.

Référence électronique
Pedro Salas-Rojo, « Branko Milanovic, *Visions of Inequality: From the French Revolution to the End of the Cold War* », *Œconomia* [En ligne], 15-3 | 2025, mis en ligne le 01 septembre 2025, consulté le 17 décembre 2025. URL : http://journals.openedition.org/oeconomia/19326 ; DOI : https://doi.org/10.4000/15cb1

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Droits d'auteur